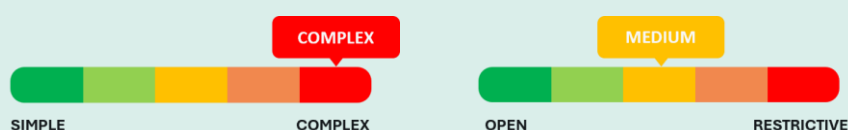




Canada (Alberta, British Columbia, Ontario and Quebec)



Overview: Canada has a complicated regime with a number of restrictions that need to be considered (both a *fund level* as well as at a *firm level*) where a firm is looking to conduct cross-border activities, whether responding to a reverse enquiry or active marketing/selling. Where restrictions are triggered, there are workable exemptions but care is required to ensure that the relevant filings are made, respective fees paid and that all the other requisite conditions are fulfilled.

General marketing may be permitted depending on how the activity is structured. Care is required for firms that are registered as a bank in their home jurisdiction (or that are associated with a bank in any jurisdiction) since an authorisation requirement will apply unless banking activities are structured such that they are not regarded as being carried out from within Canada.

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Funds: In addition to the above restriction on foreign banks, the overriding firm level restriction that needs to be considered is the Dealer Registration Requirement where the marketing of a fund occurs with Repetition, Regularity or Continuity. There are, however, useful exemptions, in particular the International Dealer Exemption. Various filing and fee requirements apply in respect of this exemption and these differ between Alberta, British Columbia, Ontario and Quebec. The other firm level restriction to consider is the Investment Fund Manager Registration Requirement. In Ontario and Quebec this may be triggered where activities occur with Repetition, Regularity or Continuity. A useful exemption, the Permitted Client Exemption, is available provided the relevant notices are filed, fees paid (Ontario only) and other conditions fulfilled. There is also a very limited “no solicitation exemption” which may apply where there is a reverse enquiry. In Alberta and British Columbia the restriction is less likely to be triggered as a firm would need to direct or manage the business, operations or affairs of a fund from a physical place of business/head office in the province.

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In addition to the above requirements, when marketing/selling interests in a fund it is necessary to consider fund level restrictions. Firms usually restrict offers to: (i) Accredited Investors to rely on the Accredited Investor Exemption; or (ii) minimum investments of CAD 150,000 to comply with the Minimum Investment Exemption from the Prospectus Requirement.

Both of these exemptions require compliance with the Canadian Disclosure Requirement or the Canadian Wrapper Requirement and an Exempt Distribution Report to be filed in each province that the fund is sold in. The form is the same in each province but will need to be filed (and applicable fee paid) in respect of each province that the fund is sold in.

Investment Management & Advisory Services (IMAS): In addition to the above restriction on foreign banks marketing/providing IMAS will likely trigger the Adviser Registration Requirement (in respect of investment advice and portfolio management) and the Dealer Registration Requirement (in respect of execution of orders on behalf of clients and arranging).

Additionally, firms in the business of trading or advising in derivatives with Canadian resident clients will need to comply with the Derivatives Business Conduct Rule unless an exemption or exception applies.

The International Adviser Exemption is a useful exemption to the Adviser Registration Requirement. Firms should note the filing, fees and other requirements in respect of each province in relation to this exemption. See above for exemptions available when the Dealer Registration Requirement is triggered. The Foreign Derivatives Adviser Exemption and the Foreign Derivatives Sub-Adviser Exemption may apply to the Derivatives Business Conduct Rule. The Derivatives Business Conduct Rule does not extend to Certain types of Derivatives and this requirement does not apply to transactions between affiliated entities unless the Canadian affiliate is considered an “investment fund” under Canadian securities law. There are additional exemptions available in limited circumstances and please see the Memorandum for more information. IMAS for these purposes means arranging, execution of orders on behalf of clients, investment advice and portfolio management.

General Marketing



Distributing business cards is permitted.



The following activities may not trigger restrictions depending on how the activity is structured:

- brand awareness;
- product/service line awareness; and
- publishing articles;
- speaking at a finance related event.

Care should be taken not to refer to specific product/service lines or specific funds services and the risk of triggering requirements can be reduced where the activity does not take place with Repetition, Regularity or Continuity. A firm should take care to avoid any false or misleading advertising, including in relation to awards/customer testimonials. General advertising in Quebec may also be subject to Quebec French language laws. For more information, please see section 8.6(a) of the Memorandum.

In respect of general marketing at fly-in meetings, if this relates to a firm that is regulated as a bank in its home jurisdiction or associated with a bank (in any jurisdiction) then caution should be exercised and the number and duration of such trips limited.



Activities which refer to particular characteristics or investment strategies (but without reference to a specific fund or service) will likely trigger restrictions.

Where activity does trigger restrictions, it may still be possible for the firm to conduct the activity provided it is structured to fit within an exemption (see *Active Marketing/Selling of Funds* and *Active Marketing/Provision of IMAS* below).

Passive Marketing/Selling (Reverse Enquiry)



Funds and IMAS: Workable where activity falls within an exemption to each restriction

There is a very limited “no solicitation exemption” to the Investment Fund Manager Registration Requirement only. This only applies to firms who are investment managers that do not “actively solicit” residents in Ontario and Quebec to purchase securities in the funds of which they are the manager. No regulatory filings are required to rely on the exemption.

Otherwise there are no specific exemptions or exclusions based on activity being in response to a reverse enquiry. The analysis set out under *Active Marketing/Selling of Funds* and *Active Marketing/Provision of IMAS* below therefore also applies.

Pre-Marketing of Funds



Workable provided activity structured within an exemption to each restriction

There is no route available enabling a firm to avoid the restrictions applicable to active marketing/selling purely because activities amount to introductory pre-marketing. See *Active Marketing/Selling of Funds* below for details of the restrictions and available exemptions.

Active Marketing/Selling of Funds



Workable where activity falls within an exemption/exclusion

There are 4 main restrictions that a firm needs to consider when actively marketing/selling funds in Canada.

1. Dealer Registration Requirement

A firm that engages in the business of trading in securities in Canada with Repetition, Regularity or Continuity is required to register as a dealer, unless an applicable exemption from registration is available. For details of the “business trigger”, where a firm is engaged in the business of “trading” please see section 7.1(a) of the Memorandum.

Repetition, Regularity or Continuity: There is no guidance on what constitutes repetition, regularity or continuity under Canadian securities laws, however, counsel suggest that marketing on a regular basis, even if infrequent (i.e. fewer than four times per year) could be considered to occur with repetition, regularity or continuity.

The exemptions most likely to be relevant are:

- **International Dealer Exemption:** applies to dealers registered in their home jurisdiction. Any firm that relies on this exemption must file a notice of submission to jurisdiction, may only trade with Permitted Clients, may only trade foreign securities, must give prescribed disclosure to clients and make annual filings with the regulator in the relevant province where the marketing activities are conducted. A fee is payable in each province except for Quebec. See section 7.1(a) of the Memorandum for further details.
- **Trades through a Local Dealer Exemption:** applicable where using a local Canadian dealer as an intermediary. The non-Canadian firm must not solicit or contact directly any purchaser or prospective purchaser. No fees or filing requirements apply.

2. Prospectus Requirement

The offer and sale of a fund to investors in Alberta, British Columbia, Ontario and Quebec requires a prospectus to be filed, approved and receipted by the securities regulator in each province unless an exemption is available.

The exemptions most likely to be relevant are:

- **Accredited Investor Exemption:** an offer to an Accredited Investor is exempt provided that the Canadian Disclosure Requirement or the Canadian Wrapper Requirement (as applicable) are complied with and an Exempt Distribution Report is filed and relevant fee paid in each province the fund is sold in. If the purchaser is an individual it is also necessary to provide a prescribed form of risk acknowledgement. Please see section 7.1(a) of the Memorandum for more information.
- **Minimum Investment Exemption:** offers with a minimum investment of CAD 150,000 are exempt, provided that the investor is not an individual, purchases as principal and the purchase is of a security of a single issuer. The firm must still comply with the Canadian Disclosure requirement or the Canadian Wrapper requirement (as applicable) and an Exempt Distribution Report must be filed and relevant fee paid in each province the fund is sold in. Please see section 7.1(a) of the Memorandum for more information.

The **Canadian Wrapper Requirement** is a wrapper consisting of a few short pages of additional information directed to Canadian investors. Please see Appendix 1.A of the Memorandum for the applicable wording.

The **Canadian Disclosure Requirement** is a set of cumulative conditions which set out when a wrapper is not required. These conditions include that the issuer is not a Canadian corporation/headquartered in or having significant connections to Canada; limiting sales to Permitted Clients who also qualify as Accredited Investors; limiting sales by non-Canadian dealers who rely on the International Dealer Exemption; a concurrent registered or unregistered offering being made in the United States; and the purchaser being given the required notice of the use of the Canadian wrapper exemption (set out in Appendix 2 to the Memorandum).

An **Exempt Distribution Report** is a filing to be made by the issuer/underwriter in each province where the fund is sold. The same form is used for each province but must be separately filed according to the system/portal used in the relevant province. A fee is payable alongside the filing. See the Memorandum for more details.

3. Investment Fund Manager Registration Requirement

A firm may be required to register as an investment fund manager, particularly if any marketing activity of a fund in respect of which the firm acts as investment manager occurs in Canada with Repetition, Regularity or Continuity. The requirement is more likely to be triggered in Ontario and Quebec since in these provinces securities regulators consider a firm to be engaging in the business of an investment fund manager if the fund has investors in the local province. By contrast, in Alberta and British Columbia, the requirement will only apply if the firm directs or manages the business, operations or affairs of a fund from a physical place of business/head office in the respective province. The requirement is therefore less likely to be triggered by cross-border activities in these provinces.

The exemption most likely to be relevant is the **Permitted Client Exemption**. This is available where all securities of the investment funds managed by the firm distributed in the local jurisdiction, were distributed under an exemption from the Prospectus Requirement to Permitted Clients. Firms should note the relevant requirements and filings to be made in respect of this exemption which are set out in more detail in section 7.1(a) of the Memorandum. In Ontario, a fee is payable to the regulator although no such fee is required in Quebec.

4. Foreign Bank Authorisation Requirement

A firm that is registered as a bank in its home jurisdiction (or that is associated with a bank in any jurisdiction) will be caught by a requirement to obtain authorisation unless it can structure its banking activities such that they are not regarded as being carried out from within Canada. A non-licensed foreign bank (or associated entity) can do this by ensuring all aspects of transactions, contracts and negotiations, including funding and booking, occur outside of Canada. Employees must also be permanently located outside of Canada, although occasional trips are permitted provided caution is exercised to ensure that the number and duration of such trips is limited.

Active Marketing/Provision of IMAS



 Workable depending on service to be marketed/provided, investor type and on how activity structured

The analysis will depend on the particular IMAS service that is being marketed/provided and we consider each in turn below. However, in relation to any fly-in meetings, in all cases it will be necessary to consider the Foreign Bank Authorisation Requirement in addition to the specific restrictions discussed below. This restriction (and applicable exclusion) is described in the *Active Marketing/Selling of Funds* section above).

1. Adviser Registration Requirement

Active marketing/provision of portfolio management and/or investment advice that occurs with Repetition, Regularity or Continuity requires a firm to register unless an exemption is available.

- **International Adviser Exemption:** available in respect of advice on foreign securities and only in respect of Permitted Clients. No more than 10% of the aggregate consolidated gross revenue of the adviser and its affiliates may be derived from the portfolio management activities of the adviser in Canada. Firms should note the other conditions including notices/filings/fees in respect of each province set out in section 7.3(a) of the Memorandum.
- **International Sub-Adviser Exemption:** available in respect of advice on foreign as well as Canadian securities. A sub-adviser agreement must set out the specific duties and responsibilities of sub-adviser vis-à-vis the registered dealer/adviser. There are no regulatory filings or fees payable for a firm to rely on this exemption.

2. Dealer Registration Requirement

Active marketing/provision of execution of orders on behalf of clients and/or arranging with Repetition, Regularity or Continuity may trigger the Dealer Registration Requirement. This restriction (and applicable exemptions/exclusions) are described in more detail in the *Active Marketing/Selling of Funds* section above.

3. Derivatives Business Conduct Rule

Any firm in the business of trading or advising in certain derivatives with Canadian resident clients will need to comply with the Derivatives Business Conduct Rule, unless an exemption or exception is available.

- **Foreign Derivatives Adviser Exemption:** available to non-Canadian firms that provide advice to Eligible Derivatives Parties. All eligible firms may apply for reliance on this exemption by submitting a Form 93-101F1 to the applicable Canadian securities regulator. Firms should note the other conditions set out in section 7.3(a) of the Memorandum.
- **Foreign Derivatives Sub-Adviser Exemption:** available in respect of derivatives sub-advisers registered (or exempt from registration) in their home jurisdiction. Firms should note the conditions set out in section 7.3(a) of the Memorandum. There are no regulatory filings or fees payable for a firm to rely on this exemption.

Additional exemptions are available in limited circumstances. Please see section 7.3(a) of the Memorandum for more information.

Additional Considerations



Intermediaries

The Canadian regulatory regime is not simply avoided by engaging an onshore intermediary. However, please note the Trades Through a Local Dealer Exemption to the Dealer Registration Requirement set out above which is based on using a local intermediary.

Fly-in meetings

The analysis that applies to marketing, selling and provision discussed elsewhere in this Summary will apply equally where the activity takes place at a fly-in meeting. Please note:

- Caution is required in respect of fly-in meetings in the context of the Foreign Bank Authorisation Requirement; and
- The Trades through a Local Dealer Exemption to the Dealer Registration Requirement will not apply to any fly-in meeting.

Quebec French Language Requirements

Firms should also note French language requirements when marketing and contracting with clients in Quebec, unless the firm has consent from the client to contract in English. Please see section 8.6(a) of the Memorandum for more information.

Canadian Anti-Spam Legislation

Canada's anti-spam legislation regulates the sending of commercial electronic messages. There are exceptions to these requirements. Please see section 8.1 of the Memorandum for more information.

Unsolicited Telecommunications Rules

There are rules on unsolicited telecommunications that apply to all telemarketing calls. There are useful exemptions to these rules, including in relation to calls to business consumers and to persons with whom there is an existing business relationship. Please see section 8.2 of the Memorandum for more information.

Definitions of Client Types



Accredited Investor: This includes, among others, most major institutions such as banks, Canadian registered advisers or dealers, pension funds, trusts or certain wealthy individuals, including those who are beneficial owners of financial assets with an aggregate realizable net value of over CAD 1 million, or whose income exceeded CAD 200,000 (CAD 300,000 when combined with a spouse) in the last 2 calendar years. See Memorandum for full definition.

Eligible Derivatives Party: This includes among others, most major institutions such as banks, Canadian registered advisers or dealers, pension funds, trusts or certain wealthy individuals, including those who are beneficial owners of financial assets with an aggregate realizable net value of over CAD 5 million. See Memorandum for full definition.

Permitted Clients: This includes, among others, most major institutions such as banks, Canadian registered advisers or dealers, pension funds, trusts or certain wealthy individuals including those who are beneficial owners of financial

assets with an aggregate realizable net value of over CAD 5 million, or persons or companies (other than an individual or an investment fund) with net assets of at least CAD 25 million. See Memorandum for full definition.